

Examining the marketing performance of the firms from an international dynamic marketing capability perspective: moderating role of marketing leadership team

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Abstract

Purpose – This study examines the marketing performance of firms from an international dynamic marketing capability perspective. It also investigates the moderating role of marketing leadership teams to improve organizations' international marketing performance.

Design/methodology/approach – The authors used dynamic capability view and other related literature to develop a theoretical model, which was validated with the structural equation modelling technique, considering a sample of 455 respondents from Indian firms. The authors also used the multigroup analysis method to examine the moderating impacts of a firm's marketing leadership team on their international marketing performance.

Findings – There is a positive relationship between a firm's dynamic ability factors and its international dynamic-marketing capabilities. The study also finds that a firm's marketing leadership team has a significant positive moderating impact on improving its international marketing performance.

Research limitations/implications – The unique theory-based model clearly explains how a firm's dynamic abilities impact international dynamic marketing capability, which then impacts its international marketing performance. This model can help practitioners, researchers and academicians to understand the significance of a firm's international dynamic capability on international marketing performance. The study also helps firms to understand the moderating influence of marketing leadership teams to improve international marketing performance.

Originality/value – This study adds value to the body of literature on international dynamic marketing, international marketing performance and international marketing knowledge management, on which, until now, few other studies have focused. Thus, this research is unique. The proposed model of international dynamic marketing is also unique with high explanative power.

Keywords International dynamic marketing, International marketing performance, Operational marketing capability, International knowledge management, Sensing, Seizing, Transforming

Paper type Research paper



1. Introduction

International dynamic marketing capabilities (IDMCs) are conceptualized as the abilities that firms have to understand and efficiently fulfil the expressed and implied needs of customers in foreign markets, which enables firms to outperform rivals in international marketing to gain a competitive edge (Morgan *et al.*, 2018; Mitrega, 2019). To develop IDMCs, firms need to improve their international marketing operations by enhancing their dynamic knowledge, skills and routines (Gnizy, 2019). In order to appropriately address the ever-changing, high velocity international markets, organizations must improve their IDMCs in the context of articulating

sound managerial decision-making processes and complex organizational routines (Peteraf *et al.*, 2013; Schilke *et al.*, 2018). Firms can ensure better international marketing performance when they develop their international operational style, knowledge management flow, as well as strategic marketing abilities (Konwar *et al.*, 2017; Buccieri *et al.*, 2020). However, to achieve those goals, firms must also improve and rationalize their dynamic capabilities, which is in accordance with dynamic capability view (DCV) theory (Teece *et al.*, 1997).

For international marketing, firms need to improve their abilities by developing “complex sets of skills and knowledge embedded in the operational process by which the available resources of an organization are transformed into valuable outputs” (Day, 1994, p. 37). These abilities are perceived to involve operational ability, knowledge management ability and strategic marketing ability, which could possess valuable, rare, inimitable and non-substitutable (VRIN) characteristics that help firms to surpass rivals in the contemporary markets. This concept corroborates resource-based view (RBV) theory (Barney, 1991). The present study has contributed that, in the international marketing context, the sensing, seizing and transforming abilities of firms, constituting dynamic capabilities, could improve their abilities in international marketing, operational management and strategic marketing, which would develop their international marketing performance with the influence of active leadership support.

The international marketing literature has several conceptualizations of dynamic capability (DC) (Wamba *et al.*, 2019). Teece (2014) proposed three salient dimensions of DC, which are sensing ability, seizing ability and transforming ability. Mitreġa (2019) found that these three abilities are used by firms to develop their IDMCs in the operational, knowledge management and strategic marketing fields. However, for all these capabilities to improve IDMCs, top management support is perceived to be of supreme importance (Asif *et al.*, 2020). Firms need to develop their IDMCs to internationalize. To do this, they enhance their international business connections by adjusting their existing business models. However, when a firm intends to introduce a new process (for internationalization), the employees often resist it, since they prefer the status quo (Samuelson and Zeckhauser, 1988). Here, it is critical for the leadership of the firms to motivate and energize the employees to accept and appreciate the new process (Thakur *et al.*, 2016; Basit *et al.*, 2017; Lin *et al.*, 2020). Besides, there is no denying the fact organizations can achieve this if their leaders actively support their employees to execute these strategies in a sedulous manner (Lin *et al.*, 2020). We have observed that researchers are interested in studying how international dynamic marketing capabilities (IDMCs) could improve international marketing performance (García Ortiz *et al.*, 2021; Reimann *et al.*, 2022; Buyukbalci and Dulger, 2022). But there are no extensive studies that have thoroughly investigated that aspect and how the support of leadership could impact the international marketing performance through the improvement of IDMC (Morgan *et al.*, 2018). Therefore, this study aims to address the following research questions (RQs).

RQ1. To what extent could the sensing, seizing and transforming capabilities of a firm impact its operational, knowledge management and strategic marketing abilities in the international marketing context?

RQ2. How much could marketing leadership support influence the relationships between international marketing performance and its predictors?

The remaining sections of the article are organized as follows. Section 2 presents the literature review and theoretical foundation of our research, followed by development of hypotheses in section 3. Next, section 4 represents our research methodology, followed by analysis of data with results in section 5. Thereafter, section 6 discusses the contributions to theory, implications for practice and limitations of this study, and it finally makes suggestions for the future scope of research.

2. Literature review and theoretical foundation

In studying the international marketing literature, we noted that most scholars explain firms' IDMCs to address the volatile markets through the lenses of RBV and DCV theories, and some researchers also use a knowledge-based view approach to explain issues of a firm's international marketing and learning abilities (Morgan *et al.*, 2018; Chaudhuri *et al.*, 2021; García Ortiz *et al.*, 2021). We found some other studies that explained the abilities of firms to internationalize by using an extended RBV, like born global small and medium enterprises (SMEs) (Falahat *et al.*, 2018; Weerawardena *et al.*, 2019; Chatterjee *et al.*, 2022a, b). Recent studies have demonstrated that international marketing functions are changing rapidly, due to market dynamism (Jeong *et al.*, 2019; Liu *et al.*, 2020; Reimann *et al.*, 2022). Other studies have highlighted that some theories have potential to explore the concept of IDMCs, but they still require further investigation from the perspective of international marketing abilities (Gligor *et al.*, 2019; Rust, 2020; Al-Kwafi *et al.*, 2021; Yamen *et al.*, 2022; Hoque *et al.*, 2022a, b; Reimann *et al.*, 2022). International marketing literature has identified marketing abilities as the main driver of firms' internationalization (Morgan *et al.*, 2018; Mitrega, 2019). The extant literature has not extensively investigated how firms could improve their product innovation, international customer support, global brand management, overseas market-oriented exploitation and explorative abilities which would benefit their internationalization effort (Buccieri *et al.*, 2020). Also, the extant literature has not investigated how conceptual approaches to studying marketing abilities in the international context differ from those used to study domestic marketing abilities (Morgan *et al.*, 2018). Therefore, this literature gap needs to be addressed.

With so many theoretical lenses, we have depended on the theory of resource-based view in the present study to elucidate the essentiality of realizing which VRIN resources help firms to function better than their rivals (Barney, 1991). Teece *et al.* (1997) and Fainshmidt *et al.* (2016) argued that for a firm to successfully internationalize its business, the application of dynamic capabilities is an effective solution. Here lies the necessity to integrate RBV and DCV, which is construed to be an extension of RBV (Wamba *et al.*, 2019). When the existing VRIN resources are unable to comprehensively address the dynamic marketing situation, firms need to improve their sensing, seizing and transforming capabilities to take advantage of the external opportunities they have found to ensure better performance in the dynamic market, which corroborates DCV (Teece *et al.*, 1997). Teece (2014) also documented that when firms improve their international operational abilities and knowledge management capability, their international marketing performance can be impacted. Several studies have highlighted that resource-constrained firms must have better IDMCs to capture stronger positions in the dynamic value chain, which tends to be asymmetric in the context of power structures (Siemieniako and Mitrega, 2018; Baraldi and Ratajczak-Mrozek, 2019; Pfajfar *et al.*, 2019; Chatterjee *et al.*, 2021a; Rana *et al.*, 2021).

Empirical studies have demonstrated a well-supported relationship between IDMCs and firm performance, although the results vary depending on the statistical procedure, context and sample analyzed (Cruz-Ros *et al.*, 2010; Asseraf and Shoham, 2019; Pyper *et al.*, 2020). IDMCs are embedded in the international business management process and allow firms to effectively scan and search the dynamic market environment to sense and seize appropriate opportunities and be aware of threats, as well as to recognize routines (Teece, 2009; Fang and Zou, 2009). Thus, it is deemed necessary for firms have adequate leadership support to improve their IDMCs to enhance their international marketing performance (Le and Lei, 2017; Basit *et al.*, 2017; Lin *et al.*, 2020).

In the dynamic international marketing environment, apart from technological and socio-economic trends, geopolitical changes also drive how international marketing practices need to be reshaped in the future (Rust, 2020). It has been observed that if an organization experiences resource constraints, it must develop its IDMCs to build a strong position in the

international market (Pfajfar *et al.*, 2019). This concept makes it clear about the importance for firms to have resources to exhibit better international marketing performance.

Not all organization's resources have identical potential to develop capabilities to outperform others in the international marketing context. Therefore, the proponents of RBV advocate that resources that improve those capabilities should possess VRIN characteristics (Barney, 1991; Chuang *et al.*, 2016; Yaseen *et al.*, 2016). RBV has an intra-firm focus in explaining that firms can develop their international marketing performance by deploying specific VRIN resources (Wójcik, 2015). From this perspective, it is argued that the firms must possess VRIN resources of international operational ability, international knowledge management ability and international strategic marketing ability.

Firms must also be able to identify their VRIN resources. Acquiring these resources is necessary, but Aminu and Mahmood (2015) argued that they could be insufficient if they are static or if the firms' strategies are inadequate in an increasingly volatile international market. However, this limitation can be addressed by the concept of DCV (Teece *et al.*, 1997), which defines dynamic capability as "the firm's ability to integrate, build, as well as transform or reconfigure internal and external competencies to address rapidly changing environment" (p. 516). DCV seeks to explain how and why firms strive to successfully adapt to the changes in the business environment (Nair *et al.*, 2014). The perspective posits that the performance of firms is principally based upon a cyclical transformation of resources, processes and abilities to respond to the environmental changes (Wójcik, 2015). DC enables the firms to appropriately address the threats posed by the dynamism in the business environment, which could otherwise make the existing firm capabilities obsolete (Kaur and Mehta, 2016). With their dynamic capability, firms can seize the sensed opportunities available in the environment and effectively reconfigure those opportunities to react and respond to dynamic marketing environments (Teece, 2014). The significant implication of the DCV approach is that the firms try to concurrently develop abilities for exploiting new resources as well as for reviving the existing resources (Teece *et al.*, 1997; Teece, 2012). In such a scenario, in the international marketing context, where the business environment is always changing, the DCV approach is felt to be highly effective.

According to Teece (2014), dynamic capabilities can be conceptualized by its three dimensions of sensing, seizing and transforming abilities. DCV focuses on existing resources and the changes in their value, their deployment and their renewal, along with creating new resources, all of which are used to address volatile, changing international market environments. Wójcik (2015) considered that RBV impacts on the decision phase whereas DCV impacts on the execution phase. Thus, the RBV and DCV theories can help to identify the exogenous and endogenous variables that impact international marketing performance of firms. The present study also considers the effective influence of leadership support to improve firms' international marketing performance.

3. Development of hypotheses and the conceptual model

From studying the literature and taking inputs from the theories, we identified the independent and dependent variables that impact firms' international marketing performance under the boundary condition of marketing leadership support. All these variables will be explained in the next section and then our hypotheses are formulated to develop a theoretical model.

3.1 Sensing ability (SEN)

Sensing capability (SEN) is one of the effective dimensions of dynamic capability (DC) (Teece, 2014). This ability is perceived to help firms to develop, co-develop and assess the available technological opportunities they need to strengthen their international operations ability,

knowledge management ability and international strategic marketing ability (Li *et al.*, 2022). A firm will use these opportunities to develop their IDMCs so they can aptly react and respond to customers' dynamic needs (Wu, 2010). With SEN ability, firms can also improve their marketing abilities by developing their business styles and strategies, which could also impact their international marketing performance (Lu and Ramamurthy, 2011). By improving their sensing capability (SEN), firms will be able to focus on the changes in the value of the existing resources and the use and renewal of such resources, as well as to properly create new resources (Aguirre, 2011). This concept corroborates DCV. Firms that have sensing ability are perceived to be more likely to adopt the appropriate technology for their operational, strategic and knowledge management abilities (Bharadwaj, 2000). In terms of DCV, sensing ability helps a firm to appropriately recognize and identify which external opportunities need to be captured to address the ever-changing dynamic market. Accordingly, the following hypotheses are formulated.

- H1a.* Sensing ability (SEN) of the firms positively impacts their international marketing operational capability (IMO).
- H1b.* Sensing ability (SEN) of the firms positively impacts their international marketing knowledge management capability (IMK).
- H1c.* Sensing ability (SEN) of the firms positively impacts their international strategic marketing capability (ISM).

3.2 Seizing ability (SEI)

Seizing ability (SEI) is another critical dimension of DC in DCV theory (Teece *et al.*, 1997; Teece, 2014) that helps firms take advantage of the sensed opportunities. In terms of DCV, a firm's seizing capability will successfully take advantage of opportunities such as acquiring resources and properly coordinating those resources to facilitate their introduction into a new business model. This ability includes the capacity to mobilize the sensed resources to address the needs and opportunities in the dynamic marketplace (Teece *et al.*, 2016). Firms that have this ability can develop a business model that properly addresses the increased volatility in international markets, especially regarding increased protectionism in international trade (Handfield *et al.*, 2020). The SEI is perceived to help firms develop strategies, new products and operational patterns to enhance their IDMCs (Wamba *et al.*, 2019). The products so developed are expected to be easily commercialized in the dynamic international market (Cepeda and Vera, 2007). The seizing ability helps firms to mobilize the required resources to better fulfill the identified customers' needs as well as business opportunities. The firms are also able to develop their international marketing abilities in the dynamic market, which supports the idea of DCV. Firms can also use SEI ability to integrate strategies vertically to develop their operational, strategic, as well as knowledge management capabilities in the international marketing context, thus improving their IDMCs to better address the ever-changing international markets (Eisenhardt and Martin, 2000; Schilke *et al.*, 2018). Accordingly, the following hypotheses are prescribed.

- H2a.* Seizing ability (SEI) of the firms positively impacts their international marketing operational capability (IMO).
- H2b.* Seizing ability (SEI) of the firms positively impacts their international marketing knowledge management capability (IMK).
- H2c.* Seizing ability (SEI) of the firms positively impacts their international strategic marketing capability (ISM).

3.3 Transforming ability (TRA)

Transforming ability (TRA) is considered the third important dimension of dynamic ability (Teece, 2014) in terms of DCV theory (Teece *et al.*, 1997). From the DCV perspective, a firm has transforming ability when it can systematically identify and change its core business routines. This capability encompasses all the abilities which can “recombine bundle of resources and ordinary capabilities” (Fainshmidt *et al.*, 2016, p. 2) to “innovate and respond to (or bring about) changes in the market and in the business environment more generally” (Teece, 2014, p. 332). TRA assists the firms to create, innovate, integrate and reconstruct resources and sometimes to dispose of the existing resources to make products that meet the dynamic needs of the international markets where the firms intend to operate (Teece, 2009; Gnizy, 2019). In the context of international marketing, TRA is construed as an effective prerequisite for ensuring that both the internal and external operational and innovative activities are well performed (Wamba *et al.*, 2019). Unless a firm possesses transforming ability, it will be very difficult for it to achieve success in the international market in the long run. Augier and Teece (2009, p. 412) have argued that “if a firm possesses resources/competencies but lacks DC, it has a chance to make competitive return for a short period, but superior returns cannot be sustained.” TRA helps the firms to do what is necessary to recombine the best resources to ensure they have the strategies for operational changes and for developing knowledge management processes to address the dynamic, volatile and complex international markets (Teece, 2014; Fainshmidt *et al.*, 2016). Accordingly, the following hypotheses are developed.

- H3a. Transforming ability (TRA) of the firms positively impacts their international marketing operational capability (IMO).
- H3b. Transforming ability (TRA) of the firms positively impacts their international marketing knowledge management capability (IMK).
- H3c. Transforming ability (TRA) of the firms positively impacts their international strategic marketing capability (ISM).

3.4 International dynamic marketing capabilities (IDMCs)

In recent years, some theoretical propositions from the fields of international marketing and international strategy highlight that firms need to articulate value propositions, as value is phenomenologically and uniquely determined by the beneficiaries (Vargo and Lusch, 2004; Priem, 2007). Therefore, from the international marketing perspective, RBV (Barney, 1991) implies that operational managers of the firms are the best people for grasping what their firms' operational capability should be to address the international market situation (Gagnon, 1999; Bernardo *et al.*, 2017). In this context, firms need to improve their overall IDMCs to anticipate accurately foreign market customers' explicit and implicit needs better than their rivals (Morgan *et al.*, 2018). To accomplish this, firms need to improve their abilities including operational excellence, strategies and knowledge management activities (Peteraf *et al.*, 2013). To develop the knowledge management ability in the international marketing context, knowledge sharing is considered key (Foote and Halawi, 2016). Sharing knowledge among all the stakeholders of a firm creates knowledge and improves innovation capability, which eventually improves and sustains the firm's competitive advantage through better international marketing performance (Rafique *et al.*, 2018; Eerme and Nummela, 2019; Glavas *et al.*, 2019). Again, to improve IDMCs, firms must improve their international marketing strategies by designing their export strategies to guide their international marketing processes and activities (Martin and Javalgi, 2019). A firm's overall ability is comprised of operational ability, knowledge management ability and strategic marketing ability, which are argued to be VRIN characteristics that ensure better international

marketing performance, which corroborates the concept of RBV theory (Barney, 1991; Oliva and Kotabe, 2019). Thus, to ensure better international marketing performance, these three capabilities need to be improved. Accordingly, the following hypotheses are developed.

- H4. International marketing operational capability (IMO) of the firms positively impacts the firms' international marketing performance (IMP).
- H5. International marketing knowledge management capability (IMK) of the firms positively impacts the firms' international marketing performance (IMP).
- H6. International strategic marketing capability (ISM) of the firms positively impacts the firms' international marketing performance (IMP).

3.5 Moderating effects of marketing leadership support (MLS)

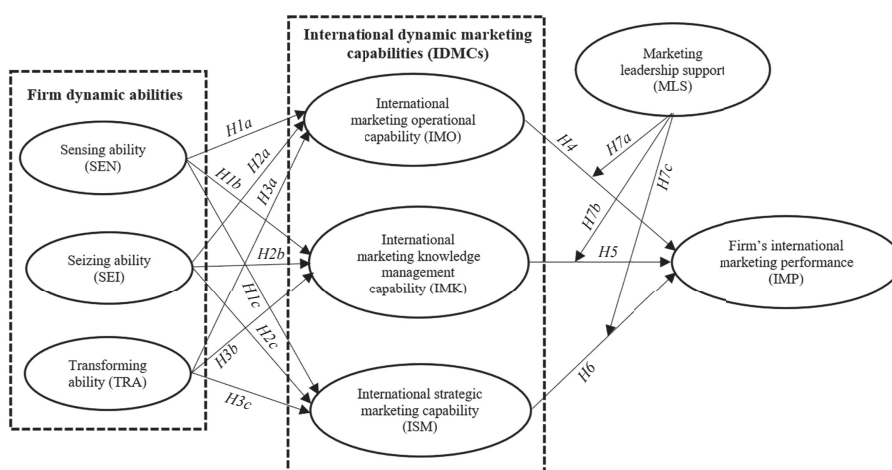
If there is a relationship between two constructs that is not fixed, a third variable may be impacting on this relationship. That third variable might facilitate the relationship in the forward direction, or it may impede the relationship. Also, it may so happen that the impact of the third variable may reverse the direction of the relationship. This third variable is known as a "moderating variable". Studies have documented that operational ability as well as strategic marketing ability of a firm can impact its international marketing performance (Pyper *et al.*, 2020; Chatterjee *et al.*, 2019a, b; Reimann *et al.*, 2022). To accomplish successful international marketing performance, a firm must improve its dynamic capabilities.

However, to extract the full potential of the dynamic capabilities, it is perceived that the marketing team must be supported by the leadership (Asif *et al.*, 2020; Sakka *et al.*, 2021). In this context, the employees must be trained and they should understand the tools and systems to achieve the objectives of the firm (Molina-Castillo *et al.*, 2020). This will also help to improve the firm's international marketing performance, as the IDMCs are developed, which requires active support of the leadership (Basit *et al.*, 2017; Chatterjee *et al.*, 2022a, b).

Since improving IDMCs of the firms is perceived to affect their performance, thus, employees' creativity and innovativeness also needs to be enhanced (Engen *et al.*, 2021; Chatterjee *et al.*, 2021b). To do this, the leadership of the firms should play a significant and decisive role in encouraging employees to improve their technological and marketing abilities, which will help to address the volatile international market and gain competitive advantage for the firms (Thakur *et al.*, 2016). Leadership could also reward the best performers of the firms to motivate employees to become more creative and improve their skillsets and dynamic abilities (Lee and Rha, 2016). Accordingly, the following hypotheses are formulated.

- H7a. Marketing leadership support (MLS) moderates the relationship between international marketing operational capability (IMO) and international marketing performance (IMP) of the firms.
- H7b. Marketing leadership support (MLS) moderates the relationship between international marketing knowledge management capability (IMK) and international marketing performance (IMP) of the firms.
- H7c. Marketing leadership support (MLS) moderates the relationship between international strategic marketing capability (ISM) and international marketing performance (IMP) of the firms.

With all these inputs, a conceptual model is proposed and is shown in Figure 1.



Source(s): Adapted from RBV and DCV theories

Figure 1.
The conceptual model

4. Research methodology

To test the hypotheses and to validate the model CB-SEM (covariance-based structural equation modelling) technique was preferred in the present study. This technique is used for estimating, assessing, as well as specifying the hypothesized model. The model represents intuitive paths to highlight the relationships between the variables with data which are perceived to be distributed symmetrically around the mean. CB-SEM can accurately estimate the observed covariance matrix. It is used to evaluate complex measurement models as well as structural paths involving a multitude of variables and levels of constructs (Hair *et al.*, 2014). This could help researchers to investigate the complex relationships, which previously could not be easily examined and disentangled. This approach is deemed to appropriate for conceptualizing a complex lifetime problem that could not be achieved by using multiple linear regression (MLR). This is because MLR creates some issues regarding the autocorrelation of explanatory variables, endogeneity and heteroskedasticity (Dogan, 2004). The CB-SEM technique can be used to analyze both confirmatory and exploratory models (Byrne, 2010). It also can be applied to estimate the coefficients of determination when analyzing the predictive power of several endogenous variables in the overall input of the model. To apply this approach, a survey first needs to be conducted by asking respondents to respond to a structured questionnaire. We used the SPSS AMOS software for the CB-SEM approach (Hair *et al.*, 2014). It is important to note that SEM needs multidimensionality of the constructs, whereas regression does not. It also helps in estimating the coefficients of determination when analysing the predictive power of several endogenous variables in the overall input of the model. To apply this approach, a survey first needs to be conducted by asking respondents to respond against a structured questionnaire. We used the SPSS AMOS software for the CB-SEM approach.

4.1 Research instruments

To prepare the questionnaire, we referred to the existing literature on RBV and DCV. While preparing the questionnaire, we gave due attention to the questions, so that they were simple and the respondents could easily understand them. The prepared questions were then pretested with a convenience sampling process considering 30 respondents. From the results of the pretest, some recitals and some of the formats of the questions were corrected to make

them simpler. The next step was to perform a pilot test with a smaller sample of respondents who did not participate in the main survey. The feedback of the pilot test helped us to assess the convergent validity of the items with reference to their corresponding constructs. The outcomes of the pilot test helped also to refine the readability and the understandability of the questions. After this pilot test, the refined questions were tested by six experts in the field of the present study. Their opinions helped us to further improve the questions. We collected the comments of the experts regarding the appropriate intelligibility of the items and if any of the wordings could be improved. This process helped us to drop several items and to reword some others, ensuring face validity (Hinkin, 1995; Gatignon *et al.*, 2002; Czakon *et al.*, 2020). Also, to ensure the appropriateness of the elements of an instrument to target the corresponding construct, attention has been given to assess the content validity because it is indicative of the domain, utility, boundaries, facets and predictive efficiency of the construct. Moreover, content validity takes care of over and under representation of facets of the construct (Vogt *et al.*, 2004). In this way, we finalized 25 items in the form of statements.

4.2 Collection of data

To target the respondents, we initially selected 30 Indian firms that have businesses in other countries from a list published in an Eduncle report. Here, the Eduncle report was consulted, because the 2021 report listed popular Indian multinational firms with their management details. We contacted the top executives of these 30 firms by telephone and email to request them to permit their managers of different ranks to participate in the survey. We contacted the top executives of these firms with the idea that they would be able to convince their employees to take part in this survey, and since they (top executives) hold the highest positions in the firms, their request to the employees to participate in the survey should be effective. We apprised them that the aim of this study was purely academic and assured them that the respondents would remain anonymous and that their responses would be strictly confidential. After several rounds of discussions with the top executives of these firms, eventually those from 14 firms agreed to permit their managers of different ranks to participate in the survey. They then provided details of 928 managers of different ranks who also agreed to take part in the survey.

We emailed these 928 managers a response sheet and asked that they return their feedback within two months' time (January–February 2022). Within the scheduled time window, 467 respondents returned their response sheets. The response sheets contained 25 questions in the form of statements, with five options for each question. The respondents were instructed to choose one option out of five against each question, as the responses would be quantified on a 5-point Likert scale. The options are Strongly Disagree (SD) = 1, Disagree (D) = 2, Neither Disagree Nor Agree (NDNA) = 3, Agree (A) = 4 and Strongly Agree (SA) = 5. The response rate was 50.3%. In this perspective, the non-response bias test was duly conducted by following the guidelines as envisaged by Armstrong and Overton (1977). To accomplish this, the chi-squared test and the independent *t*-test have been conducted with due consideration of the inputs of the first and the last 100 responses. It was observed that there is no marked difference in these two results, thereby confirming that non-response bias did not pose a major concern in this study. We found that 12 of the 467 response sheets were vague, and so we did not consider them, because they had put tick marks in more than one option against each question. Therefore, the responses of 455 respondents of 14 firms were analyzed. The demographic information of the 455 respondents is provided in Table 1.

5. Analysis of data with results

5.1 Measurement property and discriminant validity test

To assess the convergent validity of the items, we estimated the loading factor (LF) of each item. To assess the validity of the constructs, their reliability and their internal consistency,

Category	Specification	Frequency	Percentage (%)
Gender	Male	302	66.37
	Female	153	33.63
Total		455	100
Age	Above 45 years	208	45.70
	Between 35 and 45 years	151	33.20
	Less than 35 years	96	21.10
Total		455	100
Hierarchy of manager	Senior manager (>15 years of work experience)	202	44.39
	Midlevel manager (5–15 years of work experience)	149	32.74
	Junior manager (<5 years of managerial experience)	104	22.87
Total		455	100
Region (Indian States)	Southern region (Karnataka, Tamil Nadu, Kerala)	138	30.32
	Central region (Madhya Pradesh, Chhattisgarh, Maharashtra)	188	41.31
	Northern region (Punjab, Haryana, Rajasthan)	129	28.37
		455	100
Total		455	100

Table 1.
Demographic
information ($N = 455$)

we computed AVE (average variance extracted), CR (composite reliability) and α (Cronbach's alpha) of each construct. All the estimated values of the parameters were found to be within the specified range. The lowest allowable loading value is 0.70 (Chin, 2010), the lowest values of composite reliability (CR) and average variance extracted (AVE) are 0.80 and 0.50, respectively (Hair *et al.*, 2017). The results are shown in Table 2.

It was also observed that the square roots of all the AVEs are greater than the respective bifactor correlation coefficients, which satisfies Fornell and Larcker criteria (Fornell and Larcker, 1981). This confirms discriminant validity of the constructs. The results are shown in Table 3.

To supplement the Fornell and Larcker criteria, the Heterotrait Monotrait (HTMT) test was duly conducted (Henseler *et al.*, 2014). The results show that all the values of the constructs are less than 0.85 (Voorhees *et al.*, 2016; Mishra *et al.*, 2018). This also confirms discriminant validity of the constructs. Table 4 provides the results.

5.2 Moderator analysis (multigroup analysis)

In the present study, marketing leadership support (MLS) has been considered to moderate the relationships covering IMO→IMP (H4), IMK→IMP (H5) and ISM→IMP (H6). To test the effectiveness of the moderator, multigroup analysis (MGA) was done following the bootstrapping procedure considering 5,000 resamples. The effects of MLS were considered in two categories, which are Strong MLS and Weak MLS. If the p -value difference between the effects of the two groups of a moderator on a linkage is greater than 0.95 or less than 0.05, then we can infer that the effects of that moderator on that linkage are significant (Hair *et al.*, 2016). The results of the present study are shown in Table 5.

5.3 Common method bias (CMB)

As the study is based on survey data, it is possible to have common method bias (CMB). To minimize the risk of CMB, some procedural measures were taken. During the survey, the items were pretested and piloted so that the way the items were worded was not complex, and the respondents could understand the items properly and respond easily. Besides, the respondents also were assured that their anonymity and confidentiality would be preserved

Table 2.
Measurement
properties

Constructs/Items	LF	AVE	CR	α	VIF	<i>t</i> -values
SEN		0.73	0.76	0.81	4.1	
SEN1	0.89					22.18
SEN2	0.92					37.16
SEN3	0.76					39.11
SEN4	0.84					19.07
SEI		0.78	0.82	0.85	3.7	
SEI1	0.85					26.11
SEI2	0.87					41.17
SEI3	0.94					24.13
SEI4	0.87					31.16
TRA		0.81	0.83	0.87	3.9	
TRA1	0.85					22.16
TRA2	0.90					29.11
TRA3	0.95					28.07
IMO		0.84	0.86	0.88	4.3	
IMO1	0.88					36.11
IMO2	0.95					36.12
IMO3	0.92					29.07
IMK		0.77	0.81	0.84	3.6	
IMK1	0.90					30.11
IMK2	0.85					32.17
IMK3	0.75					26.46
ISM		0.75	0.78	0.82	4.6	
ISM1	0.90					27.19
ISM2	0.91					34.11
ISM3	0.87					21.76
ISM4	0.78					24.90
ISM5	0.85					32.07
IMP		0.81	0.83	0.86	3.8	
IMP1	0.84					28.11
IMP2	0.90					29.17
IMP3	0.95					37.06

Table 3.
Discriminant validity
test (Fornell and
Larcker criteria)

Constructs	Mean	SD	SEN	SEI	TRA	IMO	IMK	ISM	IMP
SEN	4.2	2.1	0.85						
SEI	3.8	1.6	0.18	0.88					
TRA	3.1	1.2	0.22	0.33	0.90				
IMO	3.7	1.7	0.34	0.26	0.21	0.92			
IMK	4.1	2.1	0.39	0.24	0.33	0.37	0.88		
ISM	3.6	1.5	0.19	0.28	0.39	0.19	0.43	0.87	
IMP	3.9	1.8	0.41	0.37	0.26	0.32	0.37	0.31	0.90

so that they could respond without being biased. Even after that, to check the severity of the CMB, Harman’s single factor test (SFT) was conducted, and the results indicate that the first factor was 23.92% of the variance, which is far less than the highest threshold value of 50% (Podsakoff *et al.*, 2003). Since Harman’s SFT is considered not robust enough to test for CMB, as opined by Ketokivi and Schroeder (2004), the marker variable test (Lindell and Whitney, 2001) was also conducted. The results of that test did not provide any complete evidence of CMB either. Hence, it can be construed that CMB could not pose a major concern in this study.

5.4 Model fit and path analysis

To verify the model fit, we computed Comparative Fit Index (CFI), Normal Fit Index (NFI) and Tucker–Lewis Fit Index (TLI), the ratios of chi-squared and degrees of freedom and the root mean square error of approximation (RMSEA). The estimated values were found to be 0.914, 0.953, 0.977, 2.003 and 0.041, respectively, which are within the specified range. Initially, the model fit indicators for SEN, SEI and TRA were assessed, and all were found to be all within the allowable range. After that we proceeded to verify that the overall dataset is fit for the model of the raw data. The SEM results along with path coefficients and *p*-values are depicted in Table 6.

With all these inputs, the validated model is shown in Figure 2.

5.5 Results

The present study has formulated 15 hypotheses. Out of these 15 hypotheses, three (H7a, H7b and H7c) belong to the effects of the moderator MLS on the three linkages H4, H5 and

Table 4.
Discriminant validity
test (HTMT Test)

Constructs	SEN	SEI	TRA	IMO	IMK	ISM	IMP
SEN							
SEI	0.41						
TRA	0.38	0.29					
IMO	0.46	0.19	0.37				
IMK	0.23	0.34	0.31	0.56			
ISM	0.32	0.47	0.22	0.19	0.48		
IMP	0.44	0.51	0.43	0.32	0.50	0.27	

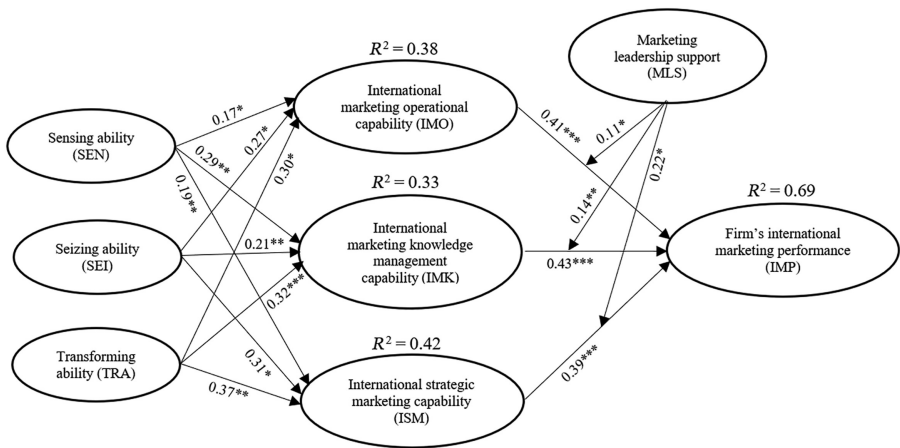
Table 5.
Moderator
analysis (MGA)

Linkages	Moderator	Hypotheses	<i>p</i> -value difference	Remarks
(IMO→IMP) × MLS	MLS	H7a	0.04	Significant
(IMK→IMP) × MLS	MLS	H7b	0.01	Significant
(ISM→IMP) × MLS	MLS	H7c	0.02	Significant

Table 6.
Structural equation
modelling (SEM)

Linkages	Hypotheses	Path coefficients	<i>p</i> -values	Remarks
SEN→IMO	H1a	0.17	<i>p</i> < 0.05(*)	Supported
SEN→IMK	H1b	0.29	<i>p</i> < 0.01(**)	Supported
SEN→ISM	H1c	0.19	<i>p</i> < 0.01(**)	Supported
SEI→IMO	H2a	0.27	<i>p</i> < 0.05(*)	Supported
SEI→IMK	H2b	0.21	<i>p</i> < 0.01(**)	Supported
SEI→ISM	H2c	0.31	<i>p</i> < 0.05(*)	Supported
TRA→IMO	H3a	0.30	<i>p</i> < 0.05(*)	Supported
TRA→IMK	H3b	0.32	<i>p</i> < 0.001(***)	Supported
TRA→ISM	H3c	0.37	<i>p</i> < 0.01(**)	Supported
IMO→IMP	H4	0.41	<i>p</i> < 0.001(***)	Supported
IMK→IMP	H5	0.43	<i>p</i> < 0.001(***)	Supported
ISM→IMP	H6	0.39	<i>p</i> < 0.001(***)	Supported
(IMO→IMP) × MLS	H7a	0.11	<i>p</i> < 0.05(*)	Supported
(IMK→IMP) × MLS	H7b	0.14	<i>p</i> < 0.01(**)	Supported
(ISM→IMP) × MLS	H7c	0.22	<i>p</i> < 0.05(*)	Supported

Figure 2.
Validated model (SEM)



H6 respectively. The statistical analysis indicates that all the hypotheses have been supported. The results demonstrate that SEN impacts IMO, IMK and ISM (H1a, H1b and H1c) significantly and positively, since the concerned path coefficients are 0.17, 0.29 and 0.19 with respective levels of significance as $p < 0.05(*)$, $p < 0.01(**)$ and $p < 0.01(**)$. We also found that SEI impacts IMO, IMK and ISM (H2a, H2b and H2c) significantly and positively, since the path coefficients are 0.27, 0.21 and 0.31 with respective levels of significance as $p < 0.05(*)$, $p < 0.01(**)$ and $p < 0.05(*)$. The present study also demonstrates that TRA impacts IMO, IMK and ISM (H3a, H3b and H3c) significantly and positively, since the path coefficients are 0.30, 0.32 and 0.37 respectively, and the levels of significance are $p < 0.05(*)$, $p < 0.001(***)$ and $p < 0.01(**)$. It appears from the results that IMP is impacted significantly and positively by IMO, IMK and ISM respectively (H4, H5 and H6), as their path coefficients are 0.41, 0.43 and 0.39 respectively, and their levels of significance are $p < 0.001(***)$, $p < 0.001(***)$ and $p < 0.001(***)$. The results also highlight that the moderator marketing leadership support (MLS) (H7a, H7b and H7c) significantly and positively impacts the relationships covered by H4, H5 and H6 respectively, as the path coefficients are found to be 0.11, 0.14 and 0.22 respectively with respective levels of significance as $p < 0.05(*)$, $p < 0.01(**)$ and $p < 0.05(*)$. So far as the coefficient of determination (R^2) are concerned, the results show that SEN, SEI and TRA can explain IMO, IMK and ISM, respectively, as much as 38% ($R^2 = 0.38$), 33% ($R^2 = 0.33$) and 42% ($R^2 = 0.42$). IMO, IMK and ISM can simultaneously explain the endogenous variable IMP to the extent of 69% ($R^2 = 0.69$), which is construed to be the predictive power of the model. It is important to note that the coefficient of determination could explain how much the variability of one factor can be caused by its relationship to another related factor.

6. Discussion

The present study has discussed that firms need to improve their IDMCs to have a better position in the international market. Firms need to be better at conceptualizing customers' explicit and latent needs in foreign markets than their rivals are. Firms are experiencing serious challenges to develop their dynamic capabilities in the international marketplaces, which are gradually becoming highly volatile and complicated compared to the domestic markets, as firms are often less familiar with the overseas resources. As such, the present study has highlighted that firms must improve their international operational marketing

capabilities by adjusting their existing business styles to address the environmental dynamism. Moreover, for improving IDMCs of the firms to succeed in their international marketing activities, firms must reconcile their knowledge management capability to attend to the dynamic international market. Firms need to develop their dynamic marketing capabilities in the international marketing context by improving several of their capabilities, including product innovation capabilities, international customer support abilities, marketing capabilities and so on.

This study has shown that dynamic abilities could help a firm to exhibit better international marketing performance mediated through some contextual factors. This was duly supplemented by another study (Mitreğa, 2019), which highlighted that the dynamic capability of a firm could impact and develop its innovativeness. The present study has expanded this idea to infer that innovativeness eventually helps to improve international marketing performance of a firm by improving its different qualities. The present study has highlighted that the dynamic ability also impacts different market practices, which eventually could improve the international marketing performance of the firm. This also received support from a study by Pérez-Cabañero *et al.* (2015).

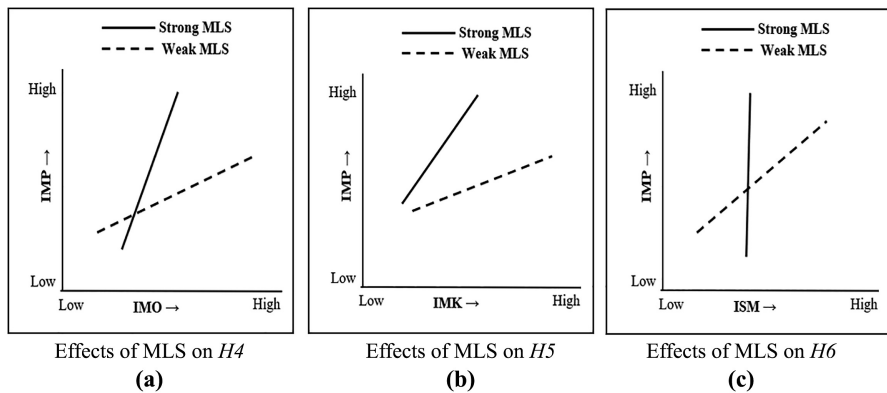
The present study has also shown that marketing leadership support helps a firm to better internalize its businesses. This finding was also supported by another study by Chatterjee *et al.* (2022a), which demonstrated how leadership support could effectively help firms to adopt UCRM. We used some inputs from that study to construe that leadership support contributes towards adoption of any new technology in a firm. To substantiate the superiority of the proposed theoretical model, a rival model has been developed that does not include the three mediators (IMO, IMK and ISM) and the moderator (MLS). Details are discussed in the appendix.

Based on DCV theory (Teece *et al.*, 1997), the present study has highlighted that sensing, seizing and transforming abilities of the firms could help them to better ensure international marketing performances as they improve their operational and knowledge management and their strategic marketing ability in the international business perspective. This idea has received support from a study by Hoque *et al.* (2022a). This study has thoroughly discussed how the sensing, seizing and transforming abilities of the firms, which are dynamic capabilities (Teece, 2014), could significantly and positively impact the capabilities of international marketing operations, international marketing knowledge management and international strategic marketing, which addresses the RQ1. These abilities could improve the overall international marketing performance of the firms, provided such improvements are positively supported by the firms' marketing leadership, which may also act as a positive catalyst to facilitate the relationships, thereby addressing RQ2.

Now we discuss the moderating effects of marketing leadership support (MLS) on the three linkages H4, H5 and H6. As previously stated, the effects of MLS were categorized into two groups that we called Strong MLS and Weak MLS for the multigroup analysis. Figure 3a–c present the graphs that illustrate the moderating effects of MLS on H4, H5 and H6 respectively.

In these three graphs, the continuous and the dotted lines represent the effects of Strong MLS and the effects of Weak MLS on the three linkages H4, H5 and H6. From these graphs, we can observe that Strong MLS has a greater effect on the rate of increase in IMP when IMO (for Figure 3a), IMK (for Figure 3b) and ISM (for Figure 3c) increase than compared to the effect of Weak MLS. This can be seen because the gradients of the continuous lines in these three graphs are more than the gradients of the corresponding dotted lines. It has corroborated the results of MGA. The gradient of a straight line is the measure of the angle which the straight line makes with the horizontal axis. In all three cases, inclinations of the continuous lines (Strong MLS) along the IMO, IMK and ISM axes are greater compared to the inclinations of the dotted lines (Weak MLS) with the same axes. Thus, strong marketing leadership support dominates in firms' achievement of success in international marketing performance (IMP).

Figure 3.
a Effects of MLS on *H4*,
b Effects of MLS on *H5*,
c Effects of MLS on *H6*



6.1 Theoretical contributions

The present study makes several theoretical contributions. Importantly, it contributes to the extant literature by the investigation into the different characteristics of international dynamic marketing capabilities (IDMCs) from the industrial, theoretical and organizational perspectives in the context of improving international marketing performance. We have highlighted that many firms do not succeed in the international arena not because they have done something wrong but because they firms did something what was right and feasible in the past. We have explored this premise by examining the dynamic nature of the international marketing abilities which can promote change. Firms have been experiencing diversified levels of dynamism, and, in this context, this study has provided them with the effective prescription that they should re-evaluate and redevelop their internal marketing abilities by improving their dynamic capabilities.

We have also used RBV theory (Barney, 1991) by extending its amplitude of applicability. We argue that international marketing operational ability, international marketing knowledge management ability and international strategic marketing ability are resources which firms possess as “an asset or input to production (tangible or intangible) that an organization owns, controls, or has access on a semipermanent basis” (Helfat and Peteraf, 2003, p. 999). We argue that these resources represent the stock of factors which are controlled or owned by a firm and could be transformed to final products or services. We also argue that these operational, strategic and knowledge management abilities possess VRIN characteristics which can outperform rival firms that are functioning in the contemporary markets. This argument has added substantial value to the body of knowledge in the extant international marketing literature. An earlier view supported that strategic attempts which deter entry to domestic or international markets and raising prices are the critical factors for better performance. However, RBV possesses an intra-firm focus (Chuang *et al.*, 2016) that could explain how firms can exhibit better international marketing performance through using firm-specific resources. Those resources are operational, strategic and knowledge management capabilities. Therefore, we argue that this study has extended the applicability of RBV by ascribing firms’ operational, strategic and knowledge management abilities as VRIN abilities which could improve a firm’s international marketing performance.

In this study, we have also extended the applications of DCV theory (Teece *et al.*, 1997) by conceptualizing, in the context of international marketing, how and why firms successfully adapt to the rapid changes in the dynamic business environments (Nair *et al.*, 2014). By -considering the dynamic abilities like sensing, seizing and transforming capabilities (Teece, 2014) to be effective predictors of international marketing performance, this study elucidates that such firm performance is based on a cyclical transformation of substantial resources, processes and abilities in response to the dynamic changes of the market environments

(Wójcik, 2015). In terms of DCV theory, the present study explains that a firm's sensing, seizing and transforming abilities are dynamic capabilities which can effectively tackle the threats advanced by the dynamism in the business environments.

A study by Asif *et al.* (2020) investigated how ethical leadership could influence employees' creativity. The idea of that study has been extended in the present study to investigate how marketing leadership support could facilitate the relationships of international marketing performance of the firms with its three predictors. We claim that this concept has added laudable value to the extant literature. Another study, by Pérez-Cabañero *et al.* (2015), demonstrated that operational marketing capabilities impact strategic marketing, marketing planning and market-knowledge capabilities. Which in turn impact firm performance. However, by extending the concept of that study, the present study has demonstrated that operational marketing, strategic marketing and knowledge management capability directly impact firm performance in the international context. Moreover, the present study shows that the impacts of these three capabilities on international marketing performance are facilitated by leadership support. This is because when leadership introduces new processes, like the internationalization process, it is always hindered by the employees who would rather stick with existing practices. In such cases, to motivate the employees to be adaptable to change, intervention from leadership plays a critical role (Samuelson and Zeckhauser, 1988; Lin *et al.*, 2020). This concept has enriched the international marketing literature.

6.2 *Implication to practice*

The present study provides valuable inputs for international marketing firms that are willing to enhance their performance. The findings of the present study can provide some effective guidelines to the managers of firms. Before investing in IDMCs, leaders and top executives should evaluate whether the firm can sense the dynamic changes, which may help it to shape the opportunities properly. Leadership must determine if their firm is ready to seize such opportunities and can reconfigure its tangible and intangible assets to improve the firm's international marketing performance (Wamba *et al.*, 2019). By introducing a higher level of a dynamic international marketing ability approach, the leaders of the firms should focus on improving the bundle of their knowledge, skills and routines which are needed to achieve better international marketing performance. The present study has demonstrated that sensing, seizing and transforming abilities of the firms could impact their operational, strategic and knowledge management abilities, which in turn could improve their international marketing performance. This implies that the leaders of the international marketing firms should be prepared to sense the external opportunities for them to better exhibit international marketing performance. After sensing such opportunities, the leaders must seize them and apprise the employees about them, so that the employees can utilize them to improve their international marketing performance.

We have also demonstrated that marketing leadership support helps to improve the international marketing performance of firms. This suggests that the leadership needs to assess the existing abilities and expertise of their employees. To do that, the leaders need to first analyse the business needs, regulations, norms, challenges and potential opportunities in those foreign countries where they intend to expand their international marketing activities. The leaders also should ensure their employees are properly trained and acquainted with the institutional norms in the foreign country and then proceed to recruit local employees who are conversant with the rules, regulations, sustainability issues, culture and necessary institutional norms of the countries where the firms intend to expand their businesses.

6.3 *Limitations and future scope*

Although the study makes several theoretical and practical contributions, it is not free from all limitations. The findings of this study are fundamentally based on cross-sectional data.

For this, defects of causality in the context of relationships between the constructs emerge. This gives rise to issues of endogeneity bias. To avoid these errors, future researchers may conduct a longitudinal study. This study did not consider any control variable that could impact the construct. This is construed as a limitation of this study. Future researchers should focus on this point. This study was conducted through the lens of DCV theory (Teece *et al.*, 1997). As noted by Ling-Yee (2007), this theory to suffer from context insensitivity flaws, because DCV cannot properly identify the optimal conditions in which IDMCs of the firms could derive maximum international firm performance (Dubey *et al.*, 2019). Future researchers need to determine the optimum conditions under which IDMCs could achieve maximum international marketing performance. To supplement the HTMT test to further verify the discriminant validity of the constructs, tests like MTMM (multitrait-multimethod) (Bagozzi *et al.*, 1991) could be conducted. This is left for future researchers to further nurture. The results of this study are based on the analysis of data obtained from respondents in India. This creates external validity issues. To eliminate this defect, it is suggested that future researchers collect data from respondents in other countries. Those results would be expected to project more generalizable results. The explanative power of the model is 69%.

It is suggested that future researchers should examine if, by considering other boundary conditions and other constructs, the predictive power of the model could be strengthened. In this context, the future researchers may consider other constructs, like a firm's culture and its marketing planning ability and technology turbulence as a moderator to examine if such consideration could improve the strength of the proposed theoretical model. The present study did not analyse a rival model, which may be considered another limitation. Future researchers may consider a rival model, and by analysing that, the effectiveness of the proposed theoretical model could be confirmed.

In this study we have analyzed the inputs of 455 respondents from 14 firms. This is truly not a multi-informant approach, and therefore, the findings could be biased. This should be construed to be a limitation of this study. Had it been possible to analyze the inputs of many respondents at several firms, the findings could have been free from bias. Future researchers may gather data from several respondents from a number of firms to present bias-free findings. We have quantified the responses in the survey by using a 5-point Likert scale. The analysis could have been more accurate had we used a 7-point Likert scale instead. Future researchers may remove this defect by using a higher scale.

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Further reading

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Appendix
Rival model

By removing the mediators IMO, IMK, and ISM and by not considering the moderator MLS, a rival model has been developed and is shown in Figure A1.

According to the analysis, the path coefficients are as follows: SEN→IMP is 0.13 ($p < 0.01$); SEI→IMP is 0.12 ($p < 0.05$); and TRA→IMP is 0.16 ($p < 0.05$). The explanatory power of the rival model emerged as 31 % ($R^2 = 0.31$), which is far below the explanatory power of the proposed theoretical model, which is 69%. Thus, it appears that it is necessary to consider the mediators and the moderator, and it also reflects the superiority of the proposed theoretical model.

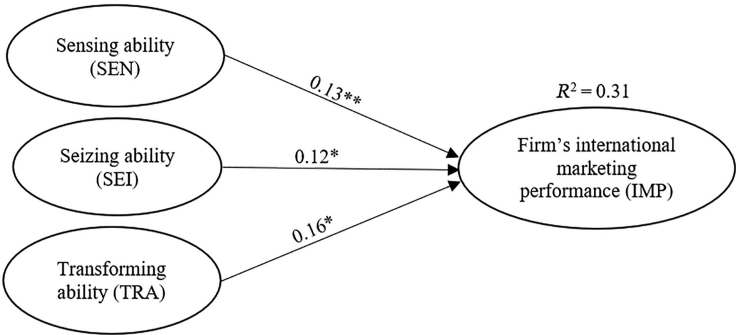


Figure A1.
The rival model

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